

Acme Corp Employee Handbook

Effective Date: January 1, 2026 | Version 3.3

This handbook outlines company policies for all full-time and part-time employees. Contact HR at hr@acmecorp.com with any questions.

Section 1 — Paid Time Off (PTO)

Acme Corp provides a flexible PTO policy that combines vacation, personal days, and floating holidays into a single PTO bank.

PTO Accrual Schedule (Full-Time Employees):

- Years 0–1: 10 days (80 hours) per year, accrued at 0.833 days per month
- Years 2–4: 15 days (120 hours) per year, accrued at 1.25 days per month
- Years 5–9: 20 days (160 hours) per year, accrued at 1.67 days per month
- Years 10+: 25 days (200 hours) per year, accrued at 2.08 days per month

Eligibility: PTO accrual begins on the employee's first day of employment. New employees may use accrued PTO after completing 90 days of employment (the probationary period).

Carry-Over Policy: Employees may carry over a maximum of 5 unused PTO days (40 hours) into the next calendar year. Any unused PTO above 5 days will be forfeited on December 31st each year. Carried-over PTO must be used by March 31st of the following year.

PTO Payout: Upon separation, employees will be paid out for all accrued, unused PTO up to a maximum of 10 days.

Section 2 — Sick Leave

Sick leave is provided separately from the PTO bank to ensure employees can address health needs without depleting vacation time.

Sick Leave Accrual: All full-time employees accrue 1 sick day (8 hours) per month, up to a maximum of 12 sick days (96 hours) per calendar year.

Part-Time Employees: Part-time employees working 20+ hours per week accrue sick leave on a prorated basis — 0.5 days per month, up to 6 days per year.

Eligibility: Sick leave is available for use immediately upon hire with no waiting period.

Carry-Over: Up to 5 unused sick days may be carried over to the following year. Sick leave does not accrue beyond 17 days at any time (12 current year + 5 carried over).

Sick leave may be used for:

- Personal illness or injury
- Medical, dental, or mental health appointments
- Caring for an immediate family member who is ill
- Pregnancy-related conditions

Sick Leave Payout: Unused sick leave is not paid out upon separation from the company.

Section 3 — Vacation Policy

For employees hired prior to January 1, 2024, vacation days were tracked separately from the PTO bank under the legacy vacation policy below. Employees hired on or after January 1, 2024 are covered under the unified PTO policy in Section 1.

Legacy Vacation Accrual (Pre-2024 Hires):

- Years 0–2: 10 vacation days per year
- Years 3–6: 15 vacation days per year
- Years 7+: 20 vacation days per year

Vacation Scheduling: Vacation requests must be submitted at least 2 weeks in advance and are subject to manager approval. No more than 2 employees in the same department may take vacation simultaneously without VP approval.

Section 4 — 401(k) Retirement Plan

Acme Corp offers a 401(k) retirement savings plan administered through Fidelity Investments. Employees are encouraged to take full advantage of the company match.

Eligibility: All full-time employees are eligible to enroll in the 401(k) plan after completing 90 days of continuous employment. Enrollment windows open on the first day of each calendar quarter (January 1, April 1, July 1, October 1).

Company Match: Acme Corp matches 100% of employee contributions up to 4% of the employee's gross annual salary. Contributions above 4% are not matched.

Example: If you earn \$60,000 and contribute 4% (\$2,400), Acme Corp contributes an additional \$2,400 — for a total annual retirement contribution of \$4,800.

Vesting Schedule: The company match is subject to a 3-year graded vesting schedule:

- After Year 1: 0% vested in company match
- After Year 2: 33% vested in company match
- After Year 3: 67% vested in company match
- After Year 4: 100% vested in company match

Employee contributions are always 100% vested immediately.

Contribution Limits: For 2026, the IRS contribution limit is \$23,500 for employees under age 50. Employees age 50 and older may contribute an additional \$7,500 catch-up contribution for a total of \$31,000.

Investment Options: Employees may choose from 20+ Fidelity index funds and target-date funds. Contact benefits@acmecorp.com or visit netbenefits.fidelity.com to manage your account.

Section 5 — Health & Dental Benefits

Eligibility: Full-time employees (30+ hours/week) are eligible for health and dental benefits on the first day of the month following their 30-day waiting period.

Health Insurance: Acme Corp covers 80% of the employee-only premium and 60% of dependent premiums for the company's standard PPO plan.

Dental Insurance: Acme Corp covers 100% of the employee-only dental premium. Dependent dental coverage is available at the employee's expense.

Vision Insurance: A voluntary vision plan is available at full employee expense, administered through VSP, with in-network exam and lens discounts.

Section 6 — Company Holidays

Acme Corp observes 11 paid company holidays per year: New Year's Day, Martin Luther King Jr. Day, Presidents' Day, Memorial Day, Juneteenth, Independence Day, Labor Day, Columbus Day, Veterans Day, Thanksgiving Day, Christmas Day.

When a holiday falls on a Saturday, it is observed on the preceding Friday. When it falls on a Sunday, it is observed on the following Monday.

Section 7 — Remote Work Policy

Acme Corp supports a hybrid work model for most roles. Specific eligibility and required in-office days are determined by department leadership based on team and role needs.

Work Arrangement Categories:

- Remote: Employee works from a home office full-time; no regular in-office requirement
- Hybrid: Employee splits time between home and an Acme Corp office, typically 2–3 days per week in-office as set by their manager
- On-site: Employee role requires regular physical presence (e.g., facilities, lab, or front-desk roles)

Equipment: Acme Corp provides a laptop, monitor, and standard peripherals for remote and hybrid employees. A one-time \$300 home office stipend is available for employees in their first 90 days to cover desk, chair, or other ergonomic equipment.

Core Hours: All employees, regardless of work arrangement, are expected to be available for meetings between 10:00 AM and 3:00 PM in their assigned time zone, unless otherwise approved by their manager.

Remote Work Outside Approved Location: Employees must notify HR before working remotely from a state or country other than their on-file work location for more than 10 consecutive business days, due to payroll tax and labor law implications.

Section 8 — Expense Reimbursement

Acme Corp reimburses reasonable, pre-approved business expenses incurred in the course of performing job duties.

Reimbursable Expense Categories:

- Business travel (airfare, lodging, ground transportation, and meals per the Travel Policy)
- Client entertainment, with prior manager approval
- Professional development — conferences, courses, and certifications relevant to the employee's role
- Job-related software, subscriptions, or small equipment purchases under \$150 without separate approval

Submission Process: Expense reports must be submitted through the Expensify portal within 30 days of the expense being incurred, with itemized receipts attached for any single expense over \$25. Reports submitted after 60 days may be denied at manager discretion.

Meal Per Diem: When traveling overnight for business, employees may expense meals up to \$75 per day domestically and \$100 per day internationally, without requiring itemized receipts under \$25.

Mileage: Personal vehicle use for business purposes is reimbursed at the current IRS standard mileage rate, calculated from the employee's primary work location.

Section 9 — Performance Reviews & Compensation Cycle

Acme Corp conducts performance reviews twice annually to support employee growth, recognize contributions, and align compensation with performance.

Review Cycle:

- Mid-Year Check-In (July): Informal progress conversation between employee and manager; no formal rating assigned
- Annual Review (January): Formal performance rating, written feedback, and goal-setting for the upcoming year

Rating Scale: Employees are rated on a 4-point scale — Exceeds Expectations, Meets Expectations, Partially Meets Expectations, and Does Not Meet Expectations — based on goal achievement and Acme Corp's core competencies.

Merit Increases & Bonuses: Annual merit increases and performance bonuses, where applicable, are determined following the Annual Review and are typically reflected in the February payroll cycle. Bonus eligibility and target percentages vary by role and level, as outlined in individual offer letters.

Promotions: Promotion requests may be submitted by a manager at any time but are formally reviewed and approved during the January and July calibration cycles, alongside the standard review process.

Section 10 — Leave of Absence & FMLA

Acme Corp complies with the federal Family and Medical Leave Act (FMLA) and applicable state leave laws. This section summarizes available leave types; HR can provide full details and required documentation for any leave request.

FMLA Eligibility:

- Employed by Acme Corp for at least 12 months
- Worked at least 1,250 hours in the preceding 12 months
- Employed at a location with 50+ Acme Corp employees within a 75-mile radius

Eligible employees may take up to 12 weeks of unpaid, job-protected leave per 12-month period for the birth or adoption of a child, a serious personal health condition, or to care for an immediate family member with a serious health condition. Group health benefits continue during FMLA leave under the same terms as active employment.

Other Leave Types:

- Parental Leave: 6 weeks of paid parental leave for the birth, adoption, or foster placement of a child, in addition to any applicable FMLA leave
- Bereavement Leave: Up to 5 paid days for the loss of an immediate family member; 2 paid days for an extended family member
- Jury Duty: Paid leave for the full duration of jury service, with proof of summons provided to HR
- Military Leave: Leave in accordance with the federal Uniformed Services Employment and Reemployment Rights Act (USERRA)

Section 11 — Code of Conduct & Equal Employment Opportunity

Acme Corp is committed to maintaining a respectful, inclusive, and professional workplace for all employees.

Equal Employment Opportunity: Acme Corp is an equal opportunity employer and prohibits discrimination or harassment based on race, color, religion, sex, sexual orientation, gender identity, national origin, age, disability, veteran status, or any other characteristic protected by applicable law.

Anti-Harassment Policy: Acme Corp maintains a zero-tolerance policy for harassment of any kind. Employees who experience or witness harassment are encouraged to report it to their manager, HR, or through the confidential Ethics Hotline at ethics@acmecorp.com without fear of retaliation.

Standards of Conduct:

- Employees must comply with all applicable laws and Acme Corp policies in the course of their work
- Conflicts of interest, including outside employment that competes with Acme Corp, must be disclosed to HR
- Confidential company and client information must not be shared outside the company, including on personal social media accounts
- Use of company systems and equipment is subject to Acme Corp's Acceptable Use Policy, available on the HR Portal

Disciplinary Process: Violations of this Code of Conduct may result in disciplinary action up to and including termination, following Acme Corp's standard progressive discipline process where applicable.

Section 12 — HR Contact Information

For questions about any policy in this handbook, contact the HR team:

- Email: hr@acmecorp.com
- Phone: (800) 555-0100 ext. 2
- HR Portal: hr.acmecorp.com
- Office hours: Monday–Friday, 9:00 AM – 5:00 PM ET